Hyundai Motor (005380 KS)

3Q26 review: why did shares fall despite earnings beat?

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BUY (M)

Target price	W440,000 (Up)
Previous target price	W410,000
Current price (Oct 29)	W292,500
Upside potential	50%

Market cap (Wbn)	59,514
Shares outstanding	262,884,502
Avg daily T/O (2M, Wbn)	204
Avg daily volume (2M, shrs)	553,434
52-week high/low (won)	750,000 / 254,500
Foreign ownership (%)	24.14%
Dividend yield (%)	0.00%
Major shareholders	Hyundai Mobis & others

Stock performance

(%)	1M	3M	12M
Absolute	(16.4)	(17.3)	13.4
Relative	(3.3)	(21.1)	(22.1)
Abs (US$)	(15.2)	(10.5)	21.4

3Q26 OP of W2.7tn beats our estimate by 35%

The earnings surprise was driven by lower warranty expenses, as the sharp decline in the quarter-end exchange rate (-12% QoQ) paradoxically generated cost savings of more than W1.2tn YoY, driving the consensus beat. The outperformance thus reflected a forex-driven timing benefit rather than an underlying improvement in earnings.

Positives: contingency measures, new models, incentives, and production normalization

Hyundai Motor continued to cut costs under its ongoing contingency measures, providing sustained support for earnings. Further improvements in 4Q26 should come from: 1) higher ASPs and underlying profitability gains from new domestic model launches; 2) a lower fixed-cost burden as plant utilization normalizes; and 3) reduced dealer incentives following new model launches overseas.

Risks: material costs, forex, and rising BEV sales mix

Regarding material costs: 1) higher raw material costs stemming from the US-Iran war that began in 2Q26 are unlikely to reverse in 4Q26; and 2) prices of metals such as copper and steel are likely to continue rising in 4Q26. Meanwhile, unlike in 3Q26, the average exchange rate (W1,338/$ month-to-date) is set to decline more sharply QoQ than the quarter-end rate, bringing forex-related earnings pressure into full effect. The IONIQ 3 launch should help reduce incentives but will also weigh on sales mix.

Maintain BUY; revise up target price slightly to W440,000

Our target price increase reflects an upward revision to 2027E automotive earnings estimates, supported by continued contingency measures. Assuming that adverse external factors (forex rate and material costs) persist, we expect automotive OPM to decline from 5.6% in 2026 to 5.2% in 2027. Nevertheless, new model launches and production normalization offer scope for a recovery in automotive profitability. Share-price catalysts include: 1) expectations surrounding Boston Dynamics around CES; 2) robust sales following new model launches; and 3) improvements in external factors such as forex and raw material costs.

Quarterly earnings

(Wbn)	3Q26P	% YoY	% QoQ	Consens	vs consens (%)
Sales	45,110	-3.4	-8.3	44,786	0.7
OP	2,677	5.5	-6.1	2,436	9.9
Pre-tax net profit	2,907	-12.6	-20.3	3,041	-4.4
Net profit, CI	1,761	-22.1	-30.1	2,142	-17.8
OPM (%)	5.9	+0.5 %pt	+0.1 %pt	5.4	+0.5 %pt
NPM (%)	3.9	-0.9 %pt	-1.2 %pt	4.8	-0.9 %pt

Note: CI = controlling interest

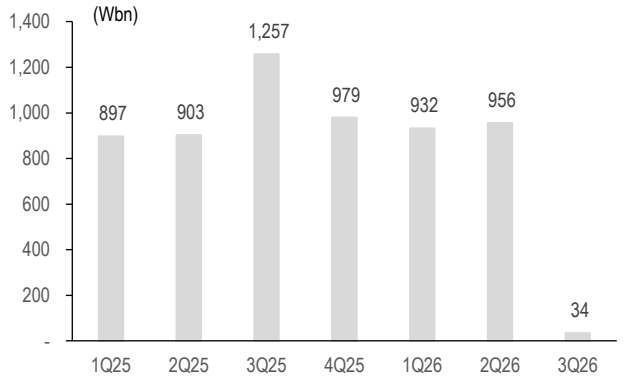
Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Sales	175,231	186,254	188,446	195,165
OP	14,240	11,468	10,474	9,378
Net profit, CI	12,527	9,446	8,499	7,904
P/E (x)	4.2	4.6	7.3	7.9
P/B (x)	0.6	0.5	0.6	0.6
EV/EBITDA (x)	7.9	9.6	10.7	11.0
ROE (%)	12.4	8.4	7.1	6.2

Source: Yuanta Securities

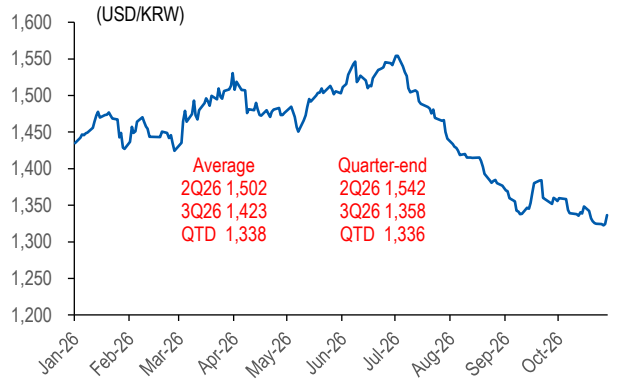
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Warranty expenses, which averaged around W1tn over past 6Qs, fell in 3Q26 on sharp QoQ drop in quarter-end exchange rate



Source: DART, Yuanta Securities

Cost-saving effect expected to fade in 4Q26E, as QoQ change in quarter-end exchange rate remains limited



Source: Bloomberg, Yuanta Securities

Hyundai Motor: target price and valuation

	2027E
Auto business NOPAT (Wbn)	5,258
Target P/E	10.0
Finance business NOPAT (Wbn)	1,521
Target P/E	12.0
Other business NOPAT (Wbn)	254
Target P/E	9.0
Total fair value of business segments (Wbn)	73,124
Market value of Kia stake (Wbn)	14,567
Discount rate	30%
BD fair value (Wbn)	50,000
Ownership stake	28%
Discount rate	50%
Fair value based on BD stake (Wbn)	6,961
Fair market capitalization (Wbn)	90,281
Common shares outstanding (000 shares)	204,758
Target price (won)	440,000

Source: Yuanta Securities

Hyundai Motor: quarterly and annual earnings forecast **(Wbn)**

	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26P	4Q26E	2025	2026E	2027E
Sales	44,408	48,287	46,721	46,839	45,939	49,215	45,110	48,182	186,254	188,446	195,165
Auto	34,718	37,609	36,715	36,590	34,538	36,833	33,058	36,217	145,632	140,646	144,865
Finance	7,398	8,214	7,189	7,432	8,991	9,504	9,190	9,315	30,233	37,000	39,000
Other and adjustments	2,292	2,464	2,818	2,817	2,409	2,879	2,862	2,650	10,390	10,800	11,300
OP	3,634	3,602	2,537	1,695	2,515	2,851	2,677	2,432	11,468	10,474	9,378
OPM	8.2%	7.5%	5.4%	3.6%	5.5%	5.8%	5.9%	5.0%	6.2%	5.6%	4.8%

Source: company data, Yuanta Securities

Hyundai Motor (005380 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**175,231**	**186,254**	**188,446**	**195,165**	**202,656**
Cost of sales	139,482	152,038	155,723	161,755	164,032
Gross profit	35,749	34,217	32,723	33,411	38,623
SG&A	21,510	22,749	22,249	24,033	24,779
Operating profit	**14,240**	**11,468**	**10,474**	**9,378**	**13,844**
EBITDA	18,527	16,484	16,117	15,507	20,335
Non-operating profit	3,542	2,374	2,128	2,341	2,543
Forex gains	295	28	0	0	0
Net interest income	529	328	326	360	382
Equity-method gains	3,114	2,510	2,294	2,474	2,653
Other	-396	-492	-492	-492	-492
Net prof before income tax	17,781	13,842	12,602	11,720	16,388
Income tax	4,232	3,477	3,276	3,047	4,261
Net profit from continuing ops	13,549	10,365	9,325	8,672	12,127
Net profit from discontinued ops	-319	0	0	0	0
Net profit	13,230	10,365	9,325	8,672	12,127
NP for controlling interest	**12,527**	**9,446**	**8,499**	**7,904**	**11,052**
Total comprehensive income	18,255	11,082	10,042	9,390	12,844
Total comprehensive income, CI	17,100	10,191	9,235	8,635	11,811

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**115,764**	**120,777**	**126,179**	**128,135**	**130,976**
Cash & cash equivalents	19,015	18,361	23,567	23,905	24,893
Accounts receivables & other	10,320	13,886	13,607	14,093	14,633
Inventory	19,791	20,662	20,905	21,650	22,481
Non-current assets	224,034	248,067	253,883	259,759	265,034
Tangible assets	44,534	48,750	53,038	56,579	59,478
Investment in affiliates	34,644	37,906	38,352	39,720	41,244
Other investment assets	83,160	86,355	86,367	86,405	86,447
Total assets	**339,798**	**368,845**	**380,061**	**387,894**	**396,011**
Current liabilities	79,510	88,579	89,771	91,082	92,250
Accounts payable & other	30,057	32,426	33,477	34,356	35,044
ST financial liabilities	9,327	10,388	10,388	10,388	10,388
Liquid LT liabilities	26,742	33,761	33,761	33,761	33,761
Non-current liabilities	140,013	152,617	153,901	152,335	147,741
LT financial liabilities	24,286	24,340	26,340	25,340	21,340
Debentures	96,134	106,900	105,900	104,900	103,900
Total liabilities	**219,522**	**241,197**	**243,672**	**243,417**	**239,991**
Equity, controlling interest	109,103	115,447	123,361	130,680	141,148
Paid-in capital	1,489	1,489	1,489	1,489	1,489
Capital surplus	7,656	7,780	7,780	7,780	7,780
Retained earnings	96,596	101,312	108,509	115,111	124,861
Equity, non-controlling interest	11,173	12,202	13,028	13,797	14,872
Total equity	**120,276**	**127,648**	**136,389**	**144,477**	**156,020**
Net debt	**75,951**	**94,204**	**89,816**	**87,236**	**80,931**
Total debt	158,128	176,770	177,774	175,789	170,805

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**-5,662**	**-5,991**	**3,435**	**2,382**	**5,903**
Net profit	13,230	10,365	9,325	8,672	12,127
Depreciation & amortization	3,398	3,745	4,212	4,559	4,801
Forex gains	-13	30	0	0	0
Affiliate investment gains	-3,113	-2,514	-2,294	-2,474	-2,653
Increase in net working cap	-35,160	-34,325	-30,569	-31,275	-31,391
Other	15,997	16,709	22,760	22,899	23,020
Investing cash flow	**-14,623**	**-10,347**	**-11,761**	**-12,378**	**-12,216**
Investment	-3,371	-2,879	-458	-1,405	-1,566
Increase in tangible assets	-8,061	-8,367	-8,500	-8,100	-7,700
Decrease in tangible assets	172	246	0	0	0
Other	-3,362	652	-2,803	-2,873	-2,950
Financing cash flow	**19,493**	**15,425**	**15,703**	**12,713**	**9,715**
ST financial liabilities	582	929	5	15	16
Debenture/LT financial liabilities	31,507	17,695	1,000	-2,000	-5,000
Equity	3,278	124	0	0	0
Cash dividend	-3,913	-3,689	-1,301	-1,301	-1,301
Other cash flow	-11,961	366	16,000	16,000	16,000
Consolidation adj and other	640	259	-2,170	-2,380	-2,413
Increase in cash & equivalents	**-152**	**-654**	**5,207**	**337**	**989**
Beginning cash & equivalents	19,167	19,015	18,361	23,567	23,905
Ending cash & equivalents	19,015	18,361	23,567	23,905	24,893
NOPLAT	14,240	11,468	**10,474**	**9,378**	**13,844**
FCF	**-13,723**	**-14,358**	**-5,065**	**-5,718**	**-1,797**

Valuation

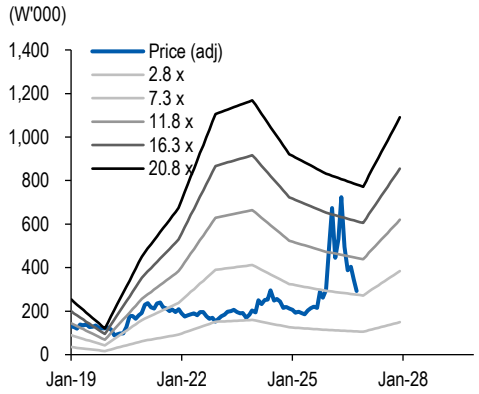
FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	56,300	44,380	40,082	37,177	52,552
BPS (won)	413,568	443,519	473,924	502,044	542,258
EBITDA/shr (won)	68,094	61,656	60,730	58,430	76,623
SPS (won)	644,061	696,647	710,072	735,390	763,614
DPS (won)	12,000	5,000	5,000	5,000	5,000
P/E (x)	**4.2**	**4.6**	**7.3**	**7.9**	**5.6**
P/B (x)	**0.6**	**0.5**	**0.6**	**0.6**	**0.5**
EV/EBITDA (x)	**7.9**	**9.6**	**10.7**	**11.0**	**8.1**
P/S (x)	**0.4**	**0.3**	**0.4**	**0.4**	**0.4**

Key financial data

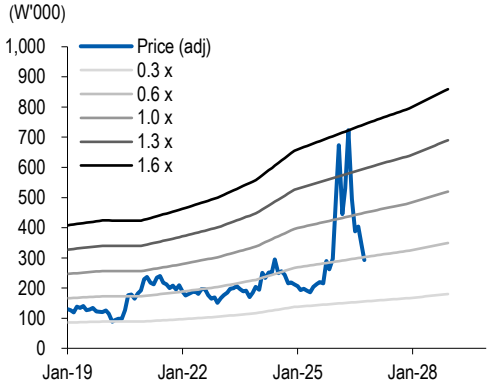
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**7.7**	**6.3**	**1.2**	**3.6**	**3.8**
Operating profit (%YoY)	**-5.9**	**-19.5**	**-8.7**	**-10.5**	**47.6**
Net profit, CI (%YoY)	**4.7**	**-24.6**	**-10.0**	**-7.0**	**39.8**
Gross margin (%)	20.4	18.4	17.4	17.1	19.1
Operating margin (%)	**8.1**	**6.2**	**5.6**	**4.8**	**6.8**
Net margin, CI (%)	7.1	5.1	4.5	4.0	5.5
EBITDA margin (%)	10.6	8.9	8.6	7.9	10.0
ROIC (%)	27.7	18.0	14.5	11.9	16.3
ROA (%)	4.0	2.7	2.3	2.1	2.8
ROE (%)	**12.4**	**8.4**	**7.1**	**6.2**	**8.1**
Debt-to-equity (%)	182.5	189.0	178.7	168.5	153.8
Net debt-to-equity (%)	69.6	81.6	72.8	66.8	57.3
OP/financing cost (x)	31.5	20.0	17.3	15.5	23.4

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

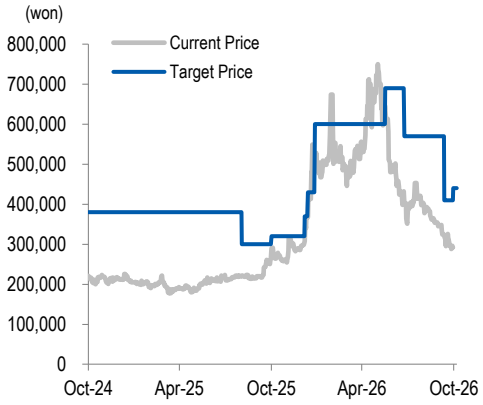
P/E band chart



P/B band chart



Hyundai Motor (005380 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/10/30	BUY	440,000	1 yr		
2026/10/12	BUY	410,000	1 yr	-25.98	-20.49
2026/07/24	BUY	570,000	1 yr	-32.63	-20.53
2026/06/16	HOLD	690,000	1 yr	-29.81	-10.43
2026/01/26	BUY	600,000	1 yr	-7.43	25.00
2026/01/12	BUY	430,000	1 yr	8.51	27.67
2026/01/06	BUY	370,000	1 yr	-4.77	-1.08
2025/10/31	BUY	320,000	1 yr	-12.47	-1.41
2025/09/02	BUY	300,000	1 yr	-23.76	-11.67
2025/08/29	After 1yr		1 yr		-100.00

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.9
HOLD	3.1
SELL	0
Total	100.0

Note: As of Oct 30, 2026 Excluding reports written or published by overseas affiliates

Appendix: Important disclosures

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- **Stock ratings** include an Investment Rating (Strong Buy, Buy, Hold, Sell) based on the expected absolute return of a stock over the next 6 -12 months.
- **- Strong Buy:** Expected to return 30% or more
  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
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  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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